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Correction

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## Born(e) in the US(A)

- The delivery option in longer-dated bond futures contracts has become topical after the twist steepening post-yesterday's FOMC
  - Should the yield curve continue to steepen, CTDs in both the USZ6 and WNZ6 contracts could shift, causing duration changes and rebalancing needs
  - We like buying the USZ6 factor-weighted basis to get put-like asymmetric exposure to a further selloff in the long end
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Following the FOMC meeting yesterday, UST yields increased in the long end as the curve twisted flatter. One of the consequences of this development has been that the delivery option in the longer-dated contracts (especially the US contract) has become topical, and the prospect of a shift in the cheapest-to-deliver (CTD) bond has drawn some interest from market participants. For the December bond futures contract (USZ6), bonds ranging from the 2.375% Feb 2042 to the 1.875% Nov 2051 are eligible for delivery, with the 4.875% Aug 2045 currently being the CTD (as of 7/29). For the ultra-long futures contract (WNZ6), bonds ranging from the WI Nov 2056 to the 2.25% Feb 2051 are eligible for delivery, with the 4% Nov 2052 being the CTD (as of 7/29). The US contract, however, has a few bonds that appear to be equicheap and could be CTD in the event of small shifts in the curve.

We also want to reiterate another important point regarding UST futures. We begin by noting that futures prices are determined not by the prices of bonds in the basket but rather by bond prices divided by their conversion factors. In other words, if we imagine plotting the factor-scaled price (defined as price divided by conversion factor) of all the bonds in the basket versus yields, the futures price-versus-yield profile would track the lower envelope of all of the bonds' individual profiles. Thus, what matters for futures pricing is not bond prices but rather factor-scaled prices. In a similar vein, the futures contract's bpv is determined (to a decent first approximation) not by the CTD's bpv but rather by the factor-scaled bpv (i.e., bpv divided by conversion factor).

In **Figures 1 and 2**, we include the bonds in the USZ6 and WNZ6 baskets, sorted not by maturity date but rather by factor-scaled BPVs, as factor-scaled BPVs (to a decent first approximation) determine a futures contract's BPV. As can be seen, the current CTD for the USZ6 basket is in the middle of the basket, while the current CTD for the WNZ6 basket is near the short end of the basket. As Figure 1 also shows, the net bases for multiple bonds are within 0.5/32nds of that of the CTD bond. Should the yield curve continue to steepen (as our UST strategists noted yesterday - see [US Treasury Daily](#), J. Barry, 7/29/2026), the CTDs for both contracts could shift further up the table (as highlighted by the gray bonds), which would result in duration changes and rebalancing needs.

Interestingly, the wildcard option, which has been almost non-existent over the past year given the lower volatility and high-coupon CTDs, could become a factor should the CTDs switch. As we have noted before (see [U.S. Bond Futures Rollover Outlook: June 2025 / September 2025](#), 5/5/2025), a high wildcard option is a function of low conversion factors (and thus lower-coupon CTDs) as well as high volatility. As Figures 1 and 2 show, a switch in a selloff would be to lower-factor bonds, which could bring the wildcard back into the picture.

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Global Markets Strategy  
Born(e) in the US(A)  
31 July 2026

J.P.Morgan

Finally, such a switch to a lower-coupon bond could also result in the optimal delivery day switching for both contracts. Currently, both contracts are priced to the last delivery day, and if a switch to a lower-coupon bond were to happen, carry could turn negative and futures could price to first delivery day.

All else equal, both the WNZ6 and USZ6 bases are likely to widen in a sell-off, acting like a put option. **Therefore, for investors who would like to gain asymmetric exposure to yields increasing further from here (and the curve steepening), we recommend buying the WNZ6 or USZ6 factor-weighted bases.** Both bases are currently trading at near ~1-2/32nds, net of carry, providing an attractive entry point (see Trade recommendations).

**Figure 1: The current CTD of the USZ6 is in the middle of the basket and could switch in a sustained selloff or a steepening**

Various characteristics of bonds eligible for delivery into the USZ6 contract. The current CTD\* is highlighted in blue, while possible switches in a selloff are highlighted in gray

| Bond           | Factor | Clean Price | BPV    | IRP  | BNOC | Price / Factor | BPV / Factor | BNOC / Factor |
|----------------|--------|-------------|--------|------|------|----------------|--------------|---------------|
| T 1 1/4 May 50 | 0.4086 | 45.9        | 833.3  | -3.5 | 37.7 | 112.3          | 2039.4       | 92.2          |
| T 1 3/8 Aug 50 | 0.4213 | 47.3        | 849.9  | -3.3 | 37.3 | 112.2          | 2017.3       | 88.4          |
| T 1 5/8 Nov 50 | 0.4499 | 50.4        | 883.7  | -2.6 | 36.2 | 112.1          | 1964.2       | 80.4          |
| T 1 7/8 Nov 51 | 0.4716 | 53.0        | 923.7  | -3.2 | 41.3 | 112.4          | 1958.7       | 87.5          |
| T 1 7/8 Feb 51 | 0.4789 | 53.7        | 919.2  | -2.3 | 36.3 | 112.1          | 1919.4       | 75.9          |
| T 2 Aug 51     | 0.49   | 55.0        | 939.5  | -2.4 | 38.3 | 112.2          | 1917.4       | 78.2          |
| T 2 Feb 50     | 0.5045 | 56.3        | 929.0  | -0.9 | 29.8 | 111.6          | 1841.4       | 59.1          |
| T 2 3/8 May 51 | 0.5399 | 60.4        | 990.7  | -0.5 | 36.3 | 112.0          | 1835.0       | 67.3          |
| T 2 1/4 Aug 49 | 0.5403 | 60.1        | 957.1  | 0.0  | 26.0 | 111.3          | 1771.4       | 48.1          |
| T 2 3/8 Nov 49 | 0.5532 | 61.6        | 975.5  | -0.1 | 26.8 | 111.3          | 1763.3       | 48.5          |
| T 2 7/8 May 49 | 0.6189 | 68.7        | 1033.5 | 1.6  | 21.9 | 111.1          | 1670.0       | 35.4          |
| T 3 Feb 49     | 0.6362 | 70.6        | 1045.7 | 1.8  | 20.1 | 111.0          | 1643.7       | 31.6          |
| T 3 Aug 48     | 0.6403 | 71.0        | 1037.8 | 2.1  | 17.0 | 110.8          | 1620.8       | 26.6          |
| T 2 3/4 Nov 47 | 0.6171 | 68.3        | 997.7  | 2.1  | 16.5 | 110.7          | 1616.7       | 26.7          |
| T 2 1/4 Aug 46 | 0.5723 | 63.2        | 925.2  | 1.9  | 13.9 | 110.5          | 1616.6       | 24.3          |
| T 2 3/4 Aug 47 | 0.6195 | 68.5        | 993.7  | 2.3  | 14.8 | 110.6          | 1604.0       | 23.8          |
| T 3 Feb 48     | 0.6445 | 71.4        | 1030.4 | 2.3  | 15.6 | 110.7          | 1598.8       | 24.2          |
| T 3 1/8 May 48 | 0.6572 | 72.8        | 1049.1 | 2.3  | 15.8 | 110.8          | 1596.3       | 24.1          |
| T 3 3/8 Nov 48 | 0.6834 | 75.8        | 1088.1 | 2.2  | 17.3 | 110.9          | 1592.2       | 25.2          |
| T 2 1/2 May 46 | 0.6036 | 66.6        | 948.6  | 2.2  | 12.0 | 110.4          | 1571.5       | 19.9          |
| T 3 May 47     | 0.651  | 72.0        | 1018.9 | 2.5  | 13.7 | 110.6          | 1565.1       | 21.0          |
| T 2 1/2 Feb 46 | 0.6064 | 66.9        | 944.8  | 2.4  | 10.9 | 110.4          | 1558.1       | 18.1          |
| T 2 7/8 Nov 46 | 0.6412 | 70.9        | 997.1  | 2.5  | 13.0 | 110.5          | 1555.0       | 20.2          |
| T 3 Feb 47     | 0.6533 | 72.2        | 1014.0 | 2.7  | 11.5 | 110.5          | 1552.1       | 17.5          |
| T 2 1/2 Feb 45 | 0.6179 | 68.1        | 930.3  | 2.5  | 10.1 | 110.3          | 1505.7       | 16.3          |
| T 3 Nov 45     | 0.665  | 73.4        | 992.7  | 3.0  | 9.0  | 110.4          | 1492.8       | 13.5          |
| T 2 7/8 Aug 45 | 0.6536 | 72.1        | 975.7  | 2.9  | 9.4  | 110.3          | 1492.8       | 14.4          |
| T 3 May 45     | 0.6699 | 73.9        | 984.3  | 2.9  | 9.8  | 110.4          | 1469.3       | 14.7          |
| T 3 Nov 44     | 0.675  | 74.4        | 974.3  | 3.1  | 8.4  | 110.3          | 1443.4       | 12.4          |
| T 3 1/8 Aug 44 | 0.6911 | 76.2        | 981.1  | 3.2  | 7.5  | 110.3          | 1419.6       | 10.9          |
| T 3 3/8 May 44 | 0.7202 | 79.5        | 999.5  | 3.2  | 7.8  | 110.3          | 1387.9       | 10.8          |
| T 4 5/8 Feb 46 | 0.8454 | 93.5        | 1168.3 | 3.4  | 6.0  | 110.6          | 1382.0       | 7.1           |
| T 2 7/8 May 43 | 0.6784 | 74.9        | 934.1  | 2.5  | 11.6 | 110.4          | 1376.9       | 17.0          |
| T 5 May 46     | 0.8867 | 98.1        | 1216.1 | 3.4  | 6.7  | 110.6          | 1371.5       | 7.5           |
| T 4 5/8 Nov 45 | 0.8464 | 93.5        | 1160.6 | 3.5  | 4.8  | 110.5          | 1371.2       | 5.7           |
| T 2 3/4 Nov 42 | 0.6718 | 74.2        | 913.7  | 2.2  | 13.5 | 110.4          | 1360.1       | 20.1          |
| T 3 5/8 Feb 44 | 0.7491 | 82.6        | 1015.8 | 3.4  | 5.2  | 110.3          | 1356.0       | 6.9           |
| T 2 3/4 Aug 42 | 0.675  | 74.6        | 909.2  | 2.0  | 15.5 | 110.5          | 1346.9       | 23.0          |
| T 2 3/8 Feb 42 | 0.6447 | 71.2        | 868.3  | 2.0  | 14.9 | 110.4          | 1346.8       | 23.1          |
| T 4 1/8 Aug 44 | 0.7986 | 88.1        | 1075.1 | 3.6  | 3.7  | 110.4          | 1346.3       | 4.6           |
| T 4 7/8 Aug 45 | 0.8753 | 96.7        | 1177.4 | 3.8  | 1.4  | 110.4          | 1345.1       | 1.6           |
| T 3 1/8 Feb 43 | 0.7069 | 78.0        | 949.7  | 2.8  | 11.2 | 110.4          | 1343.5       | 15.8          |
| T 3 3/4 Nov 43 | 0.7642 | 84.3        | 1020.9 | 3.4  | 5.9  | 110.3          | 1335.9       | 7.7           |
| T 3 5/8 Aug 43 | 0.7534 | 83.1        | 1003.6 | 3.3  | 6.7  | 110.3          | 1332.1       | 8.9           |
| T 4 3/4 Feb 45 | 0.8635 | 95.3        | 1149.5 | 3.7  | 1.8  | 110.4          | 1331.2       | 2.1           |
| T 5 May 45     | 0.8899 | 98.3        | 1182.9 | 3.7  | 2.8  | 110.5          | 1329.3       | 3.1           |
| T 4 5/8 Nov 44 | 0.851  | 93.9        | 1129.6 | 3.7  | 1.8  | 110.4          | 1327.4       | 2.1           |
| T 3 May 42     | 0.7029 | 77.8        | 924.1  | 1.8  | 17.7 | 110.6          | 1314.7       | 25.1          |
| T 4 5/8 May 44 | 0.8534 | 94.2        | 1114.4 | 3.7  | 2.5  | 110.4          | 1305.9       | 2.9           |
| T 3 7/8 May 43 | 0.7813 | 86.2        | 1018.6 | 3.3  | 6.4  | 110.4          | 1303.7       | 8.2           |
| T 4 1/2 Feb 44 | 0.8415 | 92.9        | 1094.6 | 3.7  | 1.8  | 110.4          | 1300.8       | 2.1           |
| T 3 3/8 Aug 42 | 0.7375 | 81.4        | 957.7  | 2.9  | 10.6 | 110.4          | 1298.5       | 14.4          |
| T 3 1/4 May 42 | 0.7277 | 80.4        | 941.9  | 2.7  | 12.8 | 110.5          | 1294.3       | 17.5          |
| T 3 1/8 Feb 42 | 0.7182 | 79.5        | 927.8  | 2.2  | 18.4 | 110.7          | 1291.8       | 25.6          |
| T 3 7/8 Feb 43 | 0.7834 | 86.5        | 1011.7 | 3.3  | 7.0  | 110.4          | 1291.4       | 9.0           |
| T 4 3/8 Aug 43 | 0.8313 | 91.8        | 1068.6 | 3.6  | 3.5  | 110.4          | 1285.4       | 4.2           |
| T 4 3/4 Nov 43 | 0.869  | 95.9        | 1109.5 | 3.7  | 2.0  | 110.4          | 1276.7       | 2.3           |
| T 4 Nov 42     | 0.798  | 88.1        | 1014.5 | 3.3  | 6.5  | 110.4          | 1271.3       | 8.1           |

\*As of 7/29  
Source: J.P. Morgan

**Figure 2: The current CTD for WNZ6 is near the short end of the basket and could switch in a selloff or steepening**

Various characteristics of bonds eligible for delivery into the WNZ6 contract. The current CTD\* is highlighted in blue, while possible switches in a selloff are highlighted in gray

| Bond           | Factor | Clean Price | BPV    | IRP | BNOC | Price / Factor | BPV / Factor | BNOC / Factor |
|----------------|--------|-------------|--------|-----|------|----------------|--------------|---------------|
| T 2 1/4 Feb 52 | 0.5176 | 58.2        | 980.1  | 1.8 | 13.3 | 112.4          | 1893.5       | 25.7          |
| T 2 7/8 May 52 | 0.5962 | 66.9        | 1073.7 | 2.9 | 8.6  | 112.2          | 1800.9       | 14.4          |
| T 3 Aug 52     | 0.6107 | 68.6        | 1095.5 | 2.9 | 9.5  | 112.3          | 1793.8       | 15.6          |
| T 3 5/8 May 53 | 0.688  | 77.3        | 1201.4 | 3.0 | 9.8  | 112.4          | 1746.2       | 14.3          |
| T 4 5/8 Nov 55 | 0.8126 | 92.1        | 1415.8 | 1.5 | 30.6 | 113.3          | 1742.4       | 37.7          |
| T 4 3/4 Feb 56 | 0.8292 | 94.0        | 1443.6 | 1.3 | 33.3 | 113.4          | 1741.0       | 40.1          |
| T 3 5/8 Feb 53 | 0.6893 | 77.4        | 1197.6 | 3.1 | 8.5  | 112.3          | 1737.5       | 12.3          |
| T 4 1/4 Aug 54 | 0.7657 | 86.4        | 1325.9 | 2.2 | 19.7 | 112.9          | 1731.6       | 25.7          |
| T 5 May 56     | 0.8628 | 97.8        | 1492.3 | 1.4 | 34.0 | 113.4          | 1729.6       | 39.4          |
| T 4 3/4 Aug 55 | 0.8303 | 94.0        | 1431.0 | 1.8 | 26.8 | 113.2          | 1723.5       | 32.3          |
| T 4 1/2 Nov 54 | 0.7984 | 90.1        | 1371.5 | 2.3 | 19.6 | 112.9          | 1717.8       | 24.5          |
| T 4 5/8 Feb 55 | 0.8146 | 92.0        | 1397.9 | 2.2 | 21.5 | 113.0          | 1716.1       | 26.4          |
| T 4 3/4 May 55 | 0.8308 | 93.9        | 1424.8 | 2.0 | 23.8 | 113.0          | 1715.0       | 28.6          |
| T 4 1/4 Feb 54 | 0.7674 | 86.4        | 1314.1 | 2.8 | 12.9 | 112.6          | 1712.4       | 16.8          |
| T 4 1/8 Aug 53 | 0.7527 | 84.6        | 1283.2 | 3.2 | 7.8  | 112.4          | 1704.8       | 10.4          |
| T 4 5/8 May 54 | 0.8165 | 92.0        | 1380.7 | 2.7 | 14.3 | 112.7          | 1691.0       | 17.5          |
| T 4 Nov 52     | 0.7393 | 82.9        | 1248.7 | 3.7 | 1.7  | 112.1          | 1689.0       | 2.3           |
| T 4 3/4 Nov 53 | 0.8344 | 93.8        | 1386.9 | 3.4 | 5.8  | 112.4          | 1662.1       | 7.0           |

\*As of 7/29  
Source: J.P. Morgan

## Trade recommendations

- **Buy the USZ6 factor-weighted CTD basis (with repo termed out to 12/31) as a way of gaining option-like exposure to higher yields**  
Currently, the USZ6 basis is trading near ~1.5-2/32nds, significantly underpricing the delivery optionality in the contract. A CTD switch to a lower-coupon issue could widen the basis and potentially bring the wildcard option back into the picture in a sustained sell-off or a steepening of the long-end curve. Please note that the bond we are using for the trade is different than the CTD shown in the tables because the CTDs are equicheap and have shifted slightly today.  
- Buy \$100mn notional of the 4.625% Nov 44 versus selling 851 USZ6 contracts at a gross basis of 16/32nds (term repo 3.87%, termed to 12/31/2026, net basis ~2/32nds).

For a full list of active and recently closed trades, see [US Fixed Income Markets Weekly 2026-07-24](#).

1. Corrected hedge ratio in trade recommendation.

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31 July 2026

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